Casa de Bolsa Interacciones

PREVIEW

Food

BIMBO A MM

Price
(MXN, as of 20/04/2018)
MXN$43.26

FLOAT
33.26%

BETA (3yr, vs Mexbol)
0.733

MARKET CAP. (MXN MN)
203,460

DL VL TRADED (AV. MXN MN)
101.2

TARGET PRICE*
P$44 / Var. TP -1.7%

HOLD

*TP Under Review

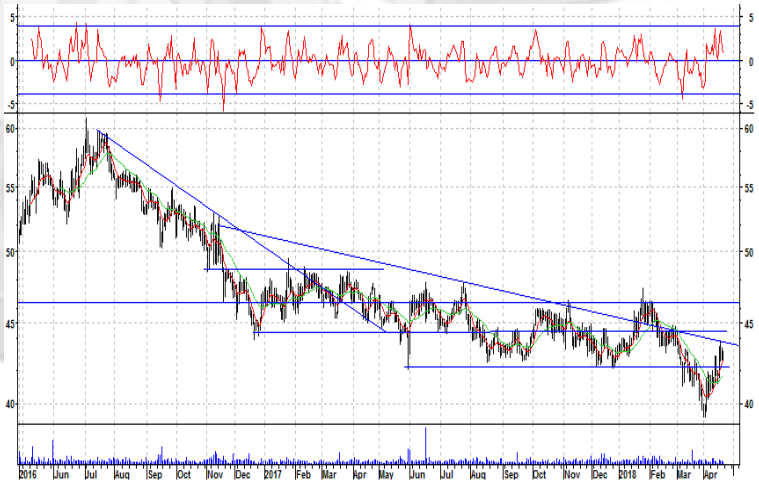
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Q118 Estimates

Positive results - We expect BIMBO to present favorable Q118 results due mainly to lower integration expenses and a reduced hedging impact in Mexico, partially offset by the appreciation of the Mexican peso during the quarter. We believe that these results could support Bimbo's shares in the short term.

Slightly higher sales - Bimbo's revenues could likely grow 4.0% YoY in Q118, reaching MXN$69.2 billion. This will include a 55% YoY increase in the Europe, Asia and Africa operation, driven by the Bimbo QSR acquisition that the company carried out in October last year. It will also incorporate an 8% YoY rise in Mexico's sales, as a result of higher volumes and prices. On the other hand, North America's revenues would decrease 2% YoY due to the appreciation of the Mexican peso during the quarter; in addition, Latin America's sales could fall another 9% YoY, due to the accounting change in Venezuela.



EBITDA margin will improve due to lower integration expenses - We expect the gross margin to remain at 55.0%. However, the lower integration expenses and a smaller hedging impact in Mexico may drive down total expenses by 2% YoY. The EBITDA margin will expand 61 bp to 9.5%, with which the company's EBITDA will grow 11% YoY.

Net profit will be up in a healthy way - Net income could increase 14% YoY to MXN$1.1 billion due to the operating improvement, which should be partially mitigated by a higher amount of foreign exchange losses.

Multiples	2016	L12M	2017	2018E
P/E	37.5x	43.9x	44.2x	31.9x
P/BV	3.1x	2.8x	2.8x	2.7x
EV/EBITDA	10.3x	10.8x	10.8x	9.9x

Source: Interacciones Research and the company

	Q118e	Q117	Dif (%)
Sales	69,179	66,511	4.0%
Operating Income	4,195	3,646	15.1%
EBITDA	6,594	5,934	11.1%
Net Income	1,122	985	13.9%

	1T18e	1T17	Dif (bp)
Operating Mgn. (%)	6.1%	5.5%	58
EBITDA Mgn. (%)	9.5%	8.9%	61
Profit Mgn. (%)	1.6%	1.5%	14

Data in million of pesos unless expressed otherwise, sum may vary due to adjustments.
Source: Interacciones and quarteryl company reports

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BIMBO A: Historic Target Price(s) & Recommendation(s)			
Date of change	12-oct-15	18-sep-14	18-jul-14
Target Price	**P$44.00**	**P$44.00**	**P$220.00**
Recommendation	2	1	2

** Recommendations: 1=Buy, 2=Hold, 3=Sell*